

September 8, 2026 04:16 PM GMT

MPI Corporation | Asia Pacific

3Q Revenue Looks Better than Feared; OW

Key Takeaways

- The stock could come under pressure following management's conservative guidance. However, we expect more updates to follow in coming quarters.
- Strong micro bump demand and greater migration to 2nm lead the team to argue that MEMS probe card capacity should expand to 8–10mn pins per month in 2027.
- PCB material shortages remain an explicit risk. Mitigation centers on diversifying suppliers/seeking substitutes to reduce reliance on constrained inputs.

MPI reported August sales of NT\$2,048mn, +13% M/M and +70% Y/Y, above our NT\$1,876mn estimate – mainly supported by price hikes, TPU, and other AI ASICs. Assuming flat September revenue M/M, 3Q revenue would rise 13% Q/Q, above our +7% estimate and the Street at +10% Q/Q.

Stay OW: As previously indicated, we expect 3Q revenue to exceed guidance given CPC/VPC price hikes. With very strong micro bump demand and more migration to 2nm, we believe MPI needs to expand MEMS probe card capacity to at least 8–10mn pins per month in 2027, positioning it to meet strong AI ASIC and GPU demand.

PCB material shortages remain a risk; however, MPI is diversifying suppliers and seeking substitutes.

For CPO, Insertion 2 qualification continues, with insertion 3 shipments on track to start in 4Q26.

Investors were slightly frustrated by the conservative guidance, but still view MPI as best positioned to benefit from increased chip probing demand over the longer term and early CPO engagement.

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MPI Corporation (6223.TWO, 6223 TT)				
Greater China Technology Semiconductors Taiwan				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	NT\$8,000.00			
Up/downside to price target (%)	38			
Shr price, close (Sep 8, 2026)	NT\$5,795.00			
52-Week Range	NT\$7,700.00-1,410.00			
Sh out, dil, curr (mn)	101			
Mkt cap, curr (mn)	NT\$583,232			
EV, curr (mn)	NT\$579,716			
Avg daily trading value (mn)	NT\$5,089			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	32.51	64.33	150.14	319.57
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	33.07	65.02	136.59	234.20
Revenue, net (NT\$ mn)	13,371	21,126	46,004	87,997
EBITDA (NT\$ mn)	4,566	7,241	17,492	37,514
ModelWare net inc (NT \$ mn)	3,179	6,119	14,264	30,335
P/E	69.2	89.8	38.5	18.1
P/BV	15.5	28.4	18.6	11.4
RNOA (%)	41.9	52.4	102.6	162.2
ROE (%)	34.2	42.0	71.7	99.8
EV/EBITDA	48.8	79.7	32.7	14.9
Div yld (%)	0.0	0.0	0.0	0.0
FCF yld ratio (%)**	0.5	0.6	1.7	4.2
Leverage (EOP) (%)	(24.1)	(31.5)	(39.2)	(48.1)
Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework				
** = Based on consensus methodology				

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§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

MPI Corporation (6223.TWO)

We derive our price target from a residual income model, as we believe this can best capture the long-term value. We assume a 9.78% cost of equity (risk-free rate 2.0% and risk premium 6.0%), a payout ratio of 67%, a medium-term growth rate of 16.0%, and a terminal growth rate of 4.0%. Our price target implies 50x/25x 2027e/2028e P/E. We believe its valuation will continue to climb along with growing earnings.

Risks to Upside

- Stronger-than-expected AI demand
- Stronger-than-expected market share gain from peers
- Stronger-than-expected CPO development

Risks to Downside

- Slower-than-expected AI demand
- Slower-than-expected market share gain from peers
- Slower-than-expected CPO development

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Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

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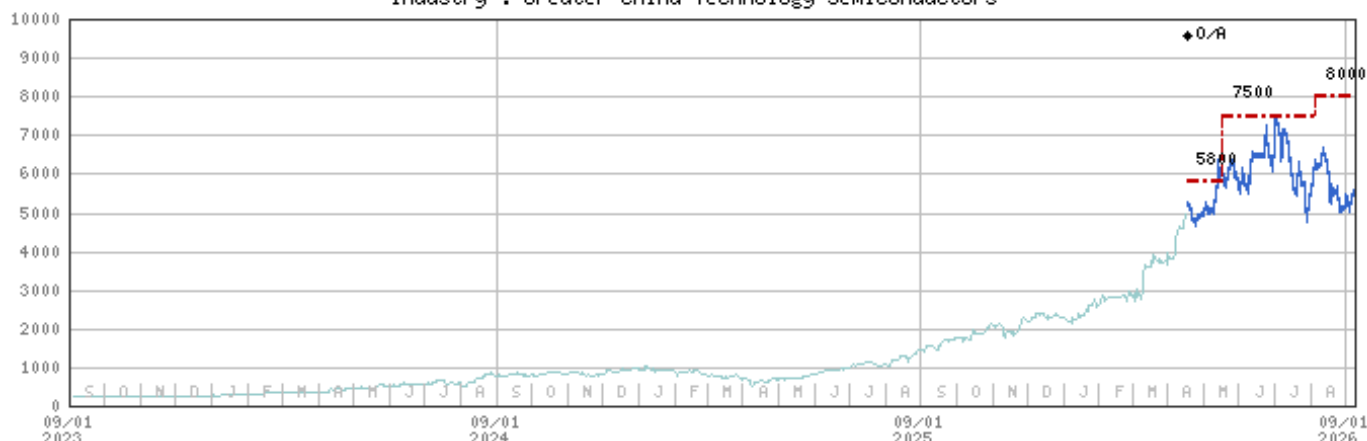
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MPI Corporation (6223.TWO) - As of 09/08/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 4/17/26 : O/A

Price Target History: 4/17/26 : 5800; 5/18/26 : 7500; 8/5/26 : 8000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/08/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$74.44
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb336.01
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$110.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,030.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$618.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,058.99
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb58.39
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$5,960.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$955.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$521.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$111.00
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$339.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$268.50
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,710.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb555.99
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$531.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb647.87
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb80.47
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,085.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb107.13
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$410.00
SMIC (0981.HK)	O (10/21/2025)	HK\$65.35
TSMC (2330.TW)	O (02/07/2022)	NT\$2,470.00
UMC (2303.TW)	O (05/19/2026)	NT\$137.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$152.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$441.50
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK\$161.40

China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb56.60
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb90.36
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb30.36
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb236.90
Innoscence (2577.HK)	E (10/13/2025)	HK\$43.20
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb68.60
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$25.82
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb97.80
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb84.68
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb61.43
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb25.10
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb86.82
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$931.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,400.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$19,220.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$99.30
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$130.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT\$2,825.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb111.13
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb385.96
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$126.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$276.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb195.65
Novatek (3034.TW)	U (02/04/2026)	NT\$534.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$118.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$547.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$72.40
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$692.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.60
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$188.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$104.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$189.50
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb116.12
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb358.86
Henry Zhao		
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb71.61
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,385.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$711.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.68
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,970.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,795.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$256.21
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$7,700.00

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* Historical prices are not split adjusted.